totally free money that is added to your tax-deferred investments and does not count against the limit you can contribute. When someone offers you free money, take it! An additional advantage of utilizing a 401(k) is that contributions are taken out of your paycheck before you ever see the money. This forces you to pay yourself first and eliminates the need for the willpower to do anything to save and invest money on a month to month basis. Do it! Future you will thank you someday.

Jonathan

When I was paying off my student loan debt, it was always a source of frustration that it's difficult to pay off the debt in any tax-advantaged way. I would read articles of people who got their effective federal tax rate close to zero while saving $30,000 to $50,000 per year. Because I was paying down debt, I didn't have the same ability. Getting rid of debt gives you freedom and flexibility, which allows you to take full advantage of the tax code and control your tax rate.

Timing Strategies